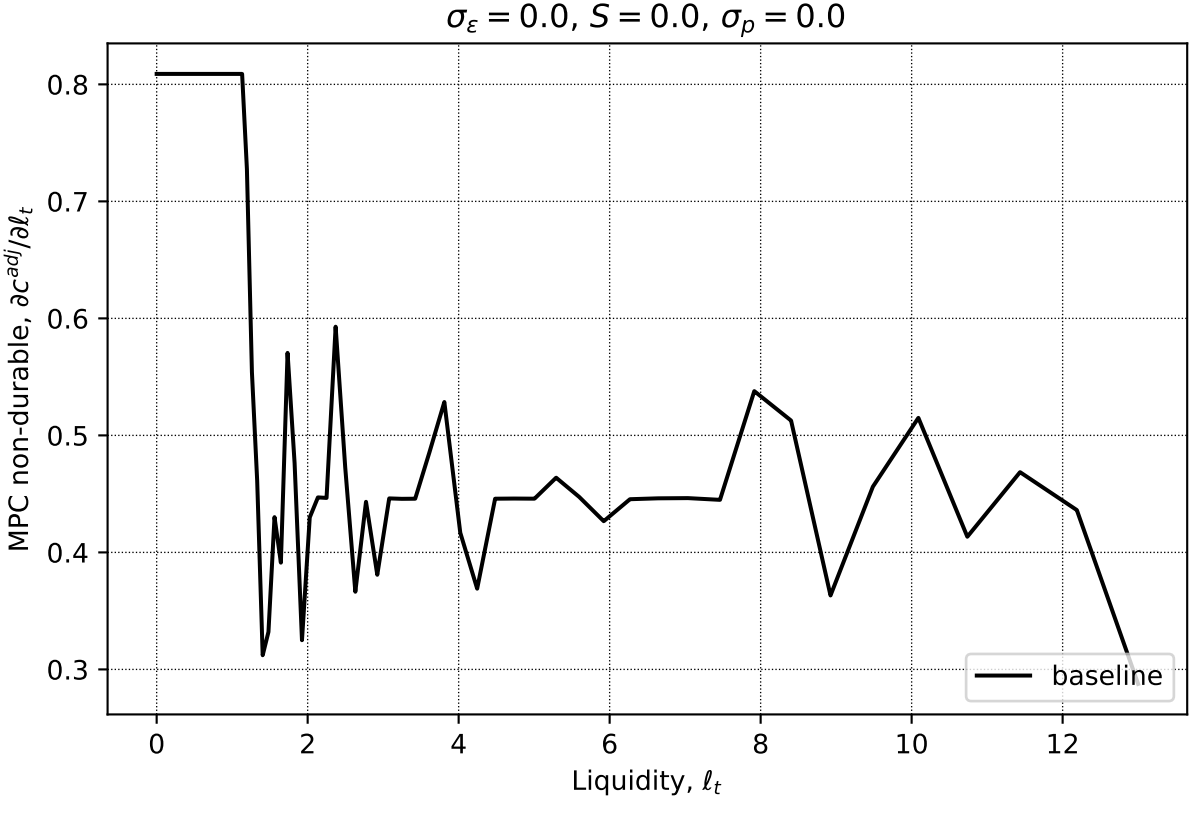
$\sigma_\varepsilon = 0.0$, $S = 0.0$, $\sigma_p = 0.0$
MPC non-durable, $\partial c^{adj}/\partial \ell_t$
Liquidity, ℓ_t
baseline
0.8
0.7
0.6
0.5
0.4
0.3
0
2
4
6
8
10
12